

AppLovin Corporation

APP | October 4, 2026

HOLD

Fair value (12-mo horizon reference)	\$335.00
Current price (October 2, 2026 close)	\$268.22
Implied upside / downside	+25%
Verdict	HOLD

Investment Thesis

AppLovin owns one of the finest advertising engines ever built. AXON, the AI bidder at the heart of its software business, has delivered sustained 50%+ revenue growth at roughly 85% adjusted EBITDA margins -- economics that have almost no precedent in ad-tech. In June 2026 the company made the defining move of its history: it opened AXON to all advertisers through a global self-serve platform, ending the curated, referral-only era. The question now is whether AXON's legendary precision survives contact with the open market.

Our judgment: the engine is real, but the self-serve era is a different business than the curated era, and the market has not yet priced that difference. Third-party checks show genuine adoption -- pixels at roughly 5,500 merchants by early 2026, growing about 200 per week -- yet the legitimate question, raised by skeptical channel checks, is whether installations convert into durable spend. E-commerce is now the swing factor: independent surveys credit AppLovin with about 11% of e-commerce ad volume by mid-2026, the largest share gain of any ad network, and a September 2026 study of 755 e-commerce brands found 2.9x lifetime ROAS on the platform. That is early but genuinely encouraging evidence -- not yet a verdict.

The overhangs, however, are non-trivial. A securities class action covering February through August 2026 alleges management overstated the pace of AI-model improvements and the readiness of its generative-AI video creative tool; a separate lawsuit against Unity over alleged misuse of MAX auction data adds headline risk. With third-quarter guidance calling for 46-48% revenue growth at ~83% EBITDA margins -- numbers that must be hit to sustain the multiple -- we see a balanced risk/reward at \$268.22. **HOLD**. The path to materially higher prices requires proof that self-serve e-commerce advertisers spend and retain like gaming advertisers did.

Business Overview

AppLovin, based in Palo Alto, California, is an ad-tech company built around three assets: AXON, the AI engine that optimizes ad bidding and user acquisition; MAX, one of the largest mobile in-app mediation platforms, which supplies AXON with proprietary auction data; and AppDiscovery, its user acquisition suite for app developers. The company historically also operated a portfolio of owned mobile games, but the economic engine -- and the investment story -- is the software business.

The strategic arc is expansion beyond mobile gaming, the vertical where AXON proved itself. E-commerce is the first new vertical at scale, with connected TV the next frontier. Generative-AI creative tools -- interactive page and video ad generators -- are meant to close the onboarding gap for smaller merchants, and the referral program is widening the funnel down-market. Whether the funnel converts is the central empirical question of 2026 and 2027.

Forward Outlook

We expect the next eighteen months to be dominated by one metric: advertiser retention and spend expansion in the self-serve cohort. If the e-commerce ROAS advantage holds at scale, AppLovin has a credible path to becoming a third performance-advertising pillar alongside Meta and Google, with connected TV as a second act. Our base case assumes software revenue compounds in the mid-20s percent range with EBITDA margins sustained in the high 70s to low 80s -- extraordinary, but a step down from the curated-era peak as the advertiser mix broadens.

The bear case is that open access commoditizes the signal: more advertisers bidding on the same inventory compresses ROAS, smaller merchants churn, and growth decelerates toward the high teens while the multiple contracts. The class-action litigation is the wild card -- even meritless suits consume management attention and can force disclosure that resets expectations. We haircut management's e-commerce ramp accordingly.

Capital allocation is a quiet strength: the business converts the overwhelming majority of EBITDA to free cash flow, funding buybacks that have steadily reduced the share count. That compounding matters more at today's price than it did at the December 2025 peak.

Connected TV is the plausible second act beyond e-commerce: the same AXON bidding intelligence applied to a larger, less mature inventory pool, where targeting precision is scarcer and therefore more valuable. We do not underwrite CTV in the base case -- it is early -- but its presence lengthens the growth runway if e-commerce adoption follows the gaming playbook. The through-line of our outlook is patience with verification: the engine has earned the benefit of the doubt on technology, but the open-platform commercial model has not yet earned it on retention.

Valuation

We value AppLovin on a probability-weighted scenario DCF. The base case assumes software revenue compounds in the mid-20s percent range over the explicit horizon with adjusted EBITDA margins sustained in the high 70s to low 80s, normalizing gradually as the advertiser base broadens -- we do not assume peak margins in perpetuity. The bear case assumes self-serve dilution: e-commerce adoption stalls, ROAS compresses, growth decelerates into the teens, and litigation imposes real cost. The bull case assumes AXON becomes a top-three performance advertising platform with durable 30%+ growth and connected TV contributing a second leg. Terminal growth is capped at 2.5% on normalized margins, and the 25% / 50% / 25% weighted fair value equals our \$335.00 target. The bear case sits well below the current \$268.22 price: if the market concludes the curated-era economics do not transfer to the open platform, the derating would be severe.

Key Risks

- Self-serve dilution: open access may compress ROAS and churn smaller advertisers, undermining the growth narrative.
- Securities class action (Feb-Aug 2026 class period) alleging overstated AI-model progress and video-tool readiness; headline and financial risk.
- Unity litigation over alleged MAX auction-data misuse; competitive and reputational overhang.
- Customer concentration in mobile gaming advertisers during the transition to e-commerce.
- Privacy and platform risk: changes to mobile OS attribution (Apple, Google) could impair targeting efficacy.
- Expectations risk: 46-48% guided revenue growth leaves little room for a miss at the current multiple.

What Would Change Our Mind

- Two consecutive quarters of self-serve advertiser cohorts showing gaming-like retention and spend expansion -- the single most important proof point.
- Independent ROAS studies at larger scale confirming the early 2.9x lifetime figure.
- Resolution of the class action without material damages or adverse disclosure.
- Connected TV contributing a visible second growth leg.
- Conversely, a guided growth deceleration into the teens, or evidence that pixel installs are not converting to spend, would move us toward REDUCE.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon -- 10 years for most businesses -- weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.